

Our Document Request [Response #1](#) (“PREV”) incorporated by reference in toto.



Block Transfer

99 Wall Street #4640
New York, NY 10005

June 16, 2025

Donna Gallagher
c/o U.S. Securities and Exchange Commission
100 Pearl Street, Suite 20-100
New York, NY 10004-2616

via secure email

Dear Ms. Gallagher,

Here is the requested information, and each question from the PDF has been partially included for clarity. We understand that our radically different approach has asked a lot of the Commission. We believe that as correspondence continues, the combined benefits of BlockTransfer, TAD3, Stellar and other decentralized consensus systems begin to speak for themselves in the newly encouraged sandbox framework.¹ We hope that Staff might consider recent expert remarks regarding “decentralized exchange” as “an amazing market innovation” that can even be used to support Staff efforts.²

The time and curiosity expressed by Staff in these matters are very appreciated. We welcome any additional questions or commentary and look forward to continued collaboration.

In good faith,

LastResortFriend
Member, WhyDRS

BobMahalo
Member, WhyDRS

Chives
Member, WhyDRS

John Wooten
Chief Compliance
Officer

¹ See remakes made by a standing Commissioner, *available at* <https://www.sec.gov/newsroom/speeches-statements/peirce-boe-fca-comment-05302024>.

² See the Commission’s final crypto roundtable session, proposing “the SEC itself leverages the capabilities of the technology” on-ledger, *available at* <https://youtu.be/O0Ba4Vn62HQ?t=3453>.

I. Control Book Questions

A. How many shares of Laylor Corporation (“Laylor”) were issued and outstanding when BlockTrans was engaged as the Transfer Agent (“TA”) (June 30, 2023 – effective date)?

1. The Agreement for Transfer Agent Services between BlockTransfer and Laylor, dated June 23, 2023, references the number of authorized shares as 100 million, but it does not mention the amount of issued or outstanding shares at the time of execution.

This was acknowledged upon receipt of the final capitalization table as 90,000,000 shares.³

2. Laylor’s Capitalization Table (rev. 10/30/22), provided in response to Item 17 of the staff’s initial request, indicates that there were 90 million shares issued and outstanding.

Agreed.

3. The 2023 Revocation Report, provided in response to Item 16 of the staff’s initial request, indicates on slide 2 that there were 90.4 million shares previously issued and outstanding.

This is due to the two further issuances of 300,000⁴ and 100,000⁵ shares, duly authorized.

³ See creation transaction with memo of the hash of the final cap table import from Response #2 Supplement 1.2, *available at* <https://stellar.expert/explorer/public/tx/37be2f6976bf0fc8ca9c716e49e970a2271dd6574feda80df8377530eb88b80a>.

⁴ See issuance evidenced in Supplement 2.1 and effected on-chain, *available at* <https://stellar.expert/explorer/public/tx/24a054a5f885875732ac1732c93e6172721ffaa061816f74130722063e5e291e> (with memo hash as evidence SHA hash). This transaction also authorized the pending issuance further detailed *infra* § II.B.5.

⁵ See issuance evidenced in Supplement 2.2 and effected on-chain, *available at* <https://stellar.expert/explorer/public/tx/bead50cf35a260ea4d9d2fd52b13703a69ae324ebfed6742a476e289eaaee622>.

B. What specific record or document does the TA maintain as its Control Book for Laylor? This record should show the total number of shares authorized and issued by the issuer. This document should also reflect any changes to these amounts made upon written authorization from the issuer.

The Control Book for securities issued on the Stellar blockchain is recorded directly on the Stellar blockchain itself. The TA does not directly maintain a record. As verified instructions are received by an issuer, relevant transactions are enacted by the TA to reflect desired updates to total shares authorized and outstanding, which are then validated by the worldwide network of nodes. Written authorization from issuers can be retained or evidenced directly on chain depending on the method of instruction from the issuer.

1. The TA did not provide a copy of the control book for Laylor in its responses to the staff's initial request (Item 11)

The control book is viewable in real time for Laylor at this link:

<https://stellar.expert/explorer/public/asset/1984803ORD-GDRM3MK6KMHSYIT4E2AG2S2LWTDBJNYXE4H72C7YTTRWOWX5ZBECFWO7?filter=asset-holders>.⁶

Please note that while this or any other Stellar block explorer would be able to perform the same task, BlockTransfer does intend to develop its own block explorer which would be freely available to anyone to use. This will be helpful to create a more suitable viewing experience optimized for securities, and will be able to more specifically account for securities metadata or relevant smart contracts such as restricted shares.

⁶ There are material additional customized applications of TAD3 which I will clarify in future communications, such as the reconciliation of restricted shares from ledger balances, construction of trading volumes, and locking mechanisms for affiliated security holders.

C. The Agreement for Transfer Agent Services between Laylor and BlockTrans states on Page 6 that the TA will “post publicly its records of the control book maintained for the Corporation.”

1. What does this mean?

There are two distinct groups of information which together populate the control book for Laylor under TAD structure. First is the PII component maintained by BlockTransfer in order to adhere to KYC regulation, and second is the publicly verifiable information maintained on the Stellar blockchain.

It is the second group of information which is collected and migrated by BlockTransfer for ease of access and distribution by clients, shareholders, or other interested parties. Notably, the distribution of a given stock issued on the Stellar blockchain are publicly auditable by anyone at any time, but are anonymized, as only public key information would be viewable.

2. Who can see the control book and what information is viewable?

The combination of the public record from Stellar blockchain maintained by TAD3 and the PII for KYC for a given client would be viewable in real time by the Syndicate and the client (Laylor in this case). This public control-book information comes from the complete public disclosure of public keys and the holdings of such accounts on the Stellar ledger.

D. The 2023 Revocation Report indicates that as of 11/30/23 10.5 million shares had been revoked. This reduced issued shares to 79.9 million (90.4 – 10.5 = 79.9 million shares), which corresponds to the number of shares outstanding as of December 31, 2023, referenced in the Issuers info page for Laylor on the TA’s website.

1. Is the Directive Concerning the Issuance and Conditional Revocation of Stock resolution, the documentation the TA is maintaining to evidence authorization for a change in the control book?

Yes, additionally this documentation is publicly available *infra* note 3. Ideally, transactions like these in the future - especially issuances - would be directly sent from issuers’ corporate accounts with on-chain executive signatures. This was effected on the MSF through a ledger transaction.⁷

E. A comparison of the Directive Concerning the Issuance and Conditional Revocation of Stock resolution to the Capitalization Table for Laylor (5/8/24) disclosed that the 1 million shares for a corporate holder may not have been revoked?

The shares for this holder faced a processing hiccup described in Item 1. Accordingly, we successfully requested the extension of the organization’s claim period as specified in Revocation p.1 § 4 since “shareholders may request an extension of up to six months.”⁸

While more fully detailed in Item 1, we pulled the shares off the blockchain and control book after a brief period of non-response from the organization representative. However, after outreach from the shareholder and issuer, an account address was provided. Because the investor has not created a wallet or passed identity verification, the shares stand idle in the distributor

⁷ See implementation operation, *available at* <https://stellar.expert/explorer/public/tx/e200438dee7cae0814860434710d7cde6ade3ed52ca4736764a89d5ebbe3cf4f>.

⁸ See public version of revocation, *available at* https://www.issuers.info/1984803/DOC/2023-10-18_Revocation.pdf. This was the document referenced in outreach communications to investors.

account.

1. Were the shareholdings of one securityholder included in the 10.5 million shares revoked in 2023?

Yes, they were.

2. If so, why do they appear on the Capitalization Table for 5/8/24? Did you obtain authorization from Laylor to issue shares to this individual after they had been revoked? Please provide a copy of the documentation maintained to evidence this Authorization.

They were authorized and reissued based on authorization from Supplement 2.3.⁹

3. If not, is the number of outstanding shares as of December 31, 2023, incorrect? Was the correct number of outstanding shares 80.9 million as of that date?

N/A

F. A comparison of the Capitalization Table as of 5/8/24 to the Capitalization Table (rev. 10/30/22) disclosed three new securityholders.

1. Are these new issuances?

Yes.

2. If so, what authorization did the TA receive from Laylor for these issuances? Please provide a copy of the documentation maintained to

⁹ See ledger effect, available at

<https://stellar.expert/explorer/public/tx/bc2af326fc2f76f551ce2bc44eb48c0ccff1339ea8114ed21d2dc728dd35247d>. As discussed in our conversation, these non-routine transactions were sent after the affirmation to the distributor account, awaiting wallet creation to distribute the shares.

evidence this authorization.

Generally, this information has been provided in previous text. I've added exhibit 3 as a supplement to the existing docs which contains an internal cache tracking on-chain basis data.¹⁰

This is based on the service agreement authorized by the issuer's board in PREV Exhibit 7 p. 6:

Email communications exchanged between the company email and employee insider emails, as they may be communicated from time to time, shall be deemed valid and binding for the purpose of conducting business and making decisions. Such communications shall have the same force and effect as if passed at a meeting of directors duly called and properly constituted.

As discussed orally, this will ideally come under the issuer interface to take up signatures.

3. If not, please explain how these securityholders obtained their shares and provide copies of the documentation maintained to evidence the authorization or instruction.

N/A

¹⁰ TAD3 commonly caches data from the ledger, which streamlines retrieval without a validator.

II. Constructing Master Securityholder Files (“MSF”)

A. What specific record or document does the TA maintain as its MSF for Laylor?

The TAD system creates and maintains the MSF as it is needed using a combination of PII and a parse of the Stellar blockchain. Rather than a specific static record or document that acts as the MSF, the TA maintains up-to-date KYC compliant records of all securityholders and when a MSF review or audit is needed, the Stellar public blockchain provides distribution data and it is combined with the KYC records in order to create the MSF in moments.

Rather than centralized tracking siloed away from public review, this approach provides not only additional transparency for all data subsets which are open to it under current regulations, but it also allows for a more robust and reliable decentralized network to provide the backend tracking. Stellar is more resilient and will not have outages due to redundant nodes, something otherwise impossible for a TA to independently provide.

1. The TA provided a capitalization table dated May 8, 2024, in response to Item 10 of the staff’s initial request. Is this the MSF for Laylor?

No. The MSF is a complete data set compiled using all PII and data from the Stellar blockchain.

The Cap Table is a subset of information pulled from the MSF, specifically including investor name/address/public key/ownership total and no other information.

2. Is the date reflected on this capitalization table, correct?

Yes. The data is taken directly from the MSF and was populated using the Stellar blockchain balances, which are verified as correct by the worldwide system of nodes that validate the chain.

3. The Agreement for Transfer Agent Services states that “the Securities balances evidenced on Stellar are considered investors’ true balances on the Corporation’s master securityholder file”. Is the information on Stellar the MSF?

The information on Stellar is an important part of the MSF, but it is not the MSF. The MSF would also include personal and protected information of securityholders, such as names and

address - and none of that PII is available on the Stellar blockchain. The MSF is created on demand in moments by combining the on chain information with up-to-date KYC compliant records maintained by BlockTransfer.

B. A review of the Agreement for Transfer Agent Services disclosed that “Block Transfer will maintain accurate and up-to-date records of investors on behalf of the Corporation through its proprietary book-entry digital recordkeeping system. It also states that the TA is leveraging the capabilities of Stellar which “enhances the integrity and accessibility of investor, records, promoting transparency, security, and efficiency in managing the Securities.”

1. Describe the firm’s proprietary book-entry digital recordkeeping system, including who has access, what documentation is maintained, and where it is maintained (server, cloud, physical locations, Stellar, etc.)

Although the software utilized by BlockTransfer was developed primarily by it's own staff, the software is not considered by BlockTransfer to be proprietary.¹¹ We publish our codebase on GitHub and use a license which allows for others to utilize it in part or whole, with the limiting factor under our license being that any adjustments to our open source software must also be open source themselves.

The book entry recordkeeping system which tracks the ownership distribution of securityholders for shares issued directly to the Stellar blockchain is the Stellar blockchain itself. All persons everywhere have access to the Stellar blockchain, and could therefore review public keys and associated ownership.

Meanwhile, the recordkeeping system tracking PII for KYC regulation is maintained by BlockTransfer using a comprehensive security partner.¹² This system is completely separate from the Stellar blockchain, and is only accessible by BlockTransfer staff / by the issuing company / by securityholders under specific conditions such as soliciting for approved proposals for the AGM.

¹¹ See motivations in public community post, *available at* <https://github.com/orgs/WhyDRS/discussions/1>.

¹² Through AWS US-East (Ohio) databases

a) Example Reconciliation

It is important to draw a clear line between proprietary software designed to extract profits from a client base and open source software which is designed to solve a problem. The community of investors and enthusiasts who have and will work together in order to improve both BlockTransfer and the Stellar blockchain it utilizes have unique motivation beyond drawing a paycheck.

Each of the following sections will link out to a publicly viewable code hosted¹³ on the BlockTransfer GitHub account, and will explain the function of each of these steps in order. Each of these can be further refined through public collaboration and input in order to continually iterate towards the best possible version of these accounting processes.¹⁴

The vast bulk of the codebase interacts with JSON code responses which scrape the Stellar blockchain's public information.¹⁵

b) PII Interfacing

See also TAD3 scripts which interface with the internal registration records of public keys mapped to personal information.¹⁶ While the code involving sensitive data does not work without requisite AWS authorization credentials, staff can review the database structure implicated by the

¹³ The particular example here queries a standalone Horizon interface from the Stellar Development Foundation. This access point can adapt at any time to other validators.

¹⁴ *See, e.g.*, code which scrapes the Stellar blockchain for wallets holding a given security, available at <https://github.com/blocktransfer/syndicate-api/blob/main/external/getLedgerBalances.py>.

¹⁵ *See, e.g.*, a script which finds all wallets holding a given security, available at <https://github.com/blocktransfer/syndicate-api/blob/main/external/getLedgerBalances.py>.

¹⁶ *See* omnibus scripting page, available at <https://github.com/blocktransfer/syndicate-api/blob/main/external/getBatchPII.py>. The database is chiefly organized by public key while also partitioning by first names and Account IDs for support outreach inquiries.

code.¹⁷

c) Legacy Migration

The legacy sections of the Python repository contain functions migrating bulk import documents processed by team members into a Legacy database separate from the PII register. This contains the information provided by the old agent or issuer itself. This data generally should not be managed independently unless the user imminently requires an updated address.

This code¹⁸ queries all holders of an issuer, one of the supplemental keys available to the database. It is primarily organized by onboarding parameters in the TAD3 migration scripts and it also filters by claim IDs which can be communicated by paper to investors without email access, akin to a proxy control number.

Crucially, users cannot effect stock transfer from the old balances. While they can hold balances for different issuers, I do not foresee this being a common occurrence since most legacy agents maintain separate MSFs for each client, as opposed to the comprehensive account structure afforded by Stellar. All issuer holdings in the legacy database sum to the amount held in the Distributor account.

2. How does the TA's recordkeeping system leverage the capabilities of Stellar? For example, are documents/records maintained by the firm linked/pulled/generated to/by/from Stellar?

BlockTransfer leverages the Stellar blockchain and network to generate accurate and up to date documentation such as the Master Securityholder File and SEC compliant files quickly and efficiently by parsing data from the Stellar Blockchain. Data stored on Stellar is cheaply stored, validated in a timely manner, and its availability is protected by the redundant and resilient nature of Stellar's decentralized node network. Additionally, by leveraging the Stellar network, some corporate actions such as stock splits can be sped up significantly due to being more direct.

¹⁷ See Ex. 1's register records screenshot. Meaningfully, CloudWatch logs can track future changes to addresses as communicated in investor app designs otherwise shared or public.

¹⁸ See <https://github.com/blocktransfer/syndicate-api/blob/main/legacy/getBalances.py>.

3. What information is maintained on the TA's MSF for Laylor?

a) The number of shares for equity securities or the principal dollar amount for debt Securities;

Yes, the number of equity securities can principally be found by querying the blockchain.¹⁹

While we don't currently process debt securities, I'm setting up the reporting and it will record the principal dollar amount.²⁰

b) The securityholder's registration

Yes

c) The address of the registered securityholder

Yes

d) The issue date of the security

Yes

¹⁹ See implementation of common tooling used to get total outstanding shares, *available at* <https://github.com/blocktransfer/py-TAD3-horizon/blob/main/globalToolsAssets.py>. Staff can find a simplified descriptor of asset information through Horizon. See, e.g., a public instance showing a limited blind report of asset information, *available at* https://horizon.stellar.org/assets?asset_code=1984803ORD&asset_issuer=GDRM3MK6KMHSYIT4E2AG2S2LWTDBJNYXE4H72C7YTTRWOWX5ZBECFWO7.

²⁰ See debt publication standard available on stable public URLs in production, *available at* <https://github.com/blocktransfer/website/blob/main/assets/bond-testing.toml>. This extends material ecosystem design considerations to standardize infrastructures which have previously been developed by a now-subsiary of the DTCC, *available at* <https://github.com/blocktransfer/website/commit/e6b2c675063c7702817e1276d0311e4cac4207d7>.

e) The cancellation date of the security

Yes, if applicable.

f) Any other identifying information about securities and securityholders the transfer agent reasonably deems essential to its recordkeeping system for the efficient and effect research of record difference.

The ledger offers a plethora of other transaction capabilities, including secondary markets. All these operations execute atomically such that no record differences may emerge through computing error of issued shares.

4. What was the listing of securityholders given to the TA at the beginning of its relationship with Laylor? Who provided this listing (the issuer or previous TA)?

We received initial securityholder information from Laylor directly,²¹ who were a private company without previous capital raising footprint. We received two lists leading up to initial share issuance, with Laylor sending along an updated list when early distribution changed.

a) Is Laylor's Capitalization Table (rev. 10/30/22) the original listing of securityholders given to the TA?

It was not the early listing of securityholders which was provided to BlockTransfer, but it was the final list of securityholders which was used to define how to distribute ownership after the shares were issued directly on the Stellar blockchain. We provided detailed information about the different cap tables provided by Laylor and the timeline therein during our last response.

b) If so, was any additional information provided to the TA regarding these securityholders? Please indicate what additional information was

²¹ See also Response #2 § I.A.2.a.

provided, if any, and when that information was transmitted to the TA.

The communication referenced in *supra* note 16 was a blank email, which staff can find in Exhibit 4. After receiving the file, I interacted with the issuer and securityholders to ascertain as much personal information as possible for investor contacts before the revocation.

c) If not, please provide a copy of the listing received by BlockTransfer when it assumed its responsibilities as TA for Laylor.

N/A

5. BlockTransfer response to Item 8 of the staff's initial request states that distributed ledgers allow investors to "destroy" their shares by sending them back to the issuing account."

As discussed in our call last week, the parallel would be shredding a bearer certificate. While we appreciate that stock certificates in the legacy sense are not bearer certificates, that is approximately what happens. My thought process here is that an investor who destroys their shares probably doesn't want them reissued to themselves to possibly destroy again.

We could remit the par value of assets based on the amount sent to respond to this action.

a) How does this work? Please provide an example, including how the TA is notified that the shares have been destroyed.

Staff can find an example using the DEMO asset from the Syndicate's issuer.²²

The Stellar blockchain is a public record, and it is possible to set alerts for any particular function. Securities which exist on chain and are tracked by the TA could trigger smart contracts

²² See burning transaction by my personal account to on-chain issuer account, *available at* <https://stellar.expert/explorer/public/tx/afc6f8ba11f28b42881f835754a722a5565ea4c9b7bef8742a319e99cbb7864a>. This transaction sent 13 shares, which decreased total supply from 103,945.94 to 103,932.94. See also construction of issuer key in PREV Exhibit 24 n.1.

to automatically notify the TA.

b) How are these “destroyed” shares treated? As a reduction to issued/outstanding or as Treasury stock?

When shares are destroyed, the Total Shares Outstanding will decrease by the amount of shares destroyed. This is done by sending shares to the Syndicate’s *asset* issuer wallet, which minted the shares.

The issuer will have control of a Treasury wallet which is not involved in destroying or burning.

6. How does the TA retain certificate detail deleted from the MSF? Where is this data/documentation maintained?

The blockchain is not only a current resource for distribution of ownership, but it is a record of all prior transactions as well. The TA does not need to additionally track details of deleted items because those histories, like current distributions, are maintained on chain and can be queried for in the same way.

a) Did the TA retain a record of all certificate detail that was deleted from the MSF as a result of the revocations in 2023?

The Stellar blockchain already acts as an immutable and decentralized record of these revocations along with any other transactions, making these records stored, backed up, and publicly available without needing the TA to do it.

Concerning PII records associated with revocation, our security solution logs changes to the PII database including deletions. In this case, there was one material PII change from an investor which was covered in Exhibit 6 of PREV.

b) If so, please provide documentation evidencing this.

See supra note 6.

7. A review of the Capitalization Table for May 8, 2024, disclosed 80.9 issued and outstanding shares and an additional 100,000 shares reflected as “Pending” for a securityholder.

1. What does the term “Pending” denote? Is this a claimable amount that hasn’t been credited/debited yet?

The claimable balances are explicitly used to denote distributions with holding periods under Rule 144.²³ The issuance is pending for this securityholder because they have not opened an account or provided a physical address. After the qualms in Response #2 about proper registration, we’ve asked both the individual and the Issuer on multiple occasions to identify such personal location information to effect the issuance of securities.²⁴

2. Why aren’t the 100,000 for the securityholder included in the issued and outstanding amount?

The issuer has demonstrated through email an intent to issue these shares, but they have not provided the information needed to adequately identify a securityholder.

In the future, through the IssuerLink interface, executives will issue to Account IDs which implicate a fully verified user wallet.

8. Provide a copy of the MSF for Laylor as of April 30, 2025.

I sincerely appreciate that staff would like an MSF for Laylor as of the date of the initial request. However, I have given staff all I have in terms of securityholder records with exception of PII. Notwithstanding, I’ve included most of this in Response #2 Exhibit 9. The full internal

²³ See discussion of inefficiencies in traditional approval and time-period verification processing, available at PREV n.6 p.24.

²⁴ See outreach and summary of oral discussion in Exhibit 5.

databases only include additional ancillary information such as onboarding time or phone numbers.

1. If any changes between the original MSF and the MSF as of 4/30/25 were the result of revocations or new issuances not covered by Control Book Items 5 & 6 or MSF Item 6, please provide documentation evidencing authorization by the issuer.

N/A

2. If any changes between the original MSF and the MSF as of 4/30/25 were the result of transfers, please indicate those and provide documentation evidencing instructions received, if applicable, from the issuer or securityholder.

Generally, all changes to the MSF in regards to shareholdings, aside from legacy imports, are evidenced on the ledger. Should staff want to review new transactions, I recommend viewing PREV n.15.